4. State whether the balance of the following accounts should be placed in the debit or the credit column of the trial balance:

(i)	Carriage outwards	(ii)	Carriage inwards	(iii)	Sales
(iv)	Purchases	(v)	Bad debts	(vi)	Interest paid
(vii)	Interest received	(viii)	Discount received	(ix)	Capital
(x)	Drawings	(xi)	Sales returns	(xii)	Purchase returns

III Short answer questions

1. What are the objectives of preparing trial balance?
2. What are the limitations of trial balance?
3. 'A trial balance is only a prima facie evidence of the arithmetical accuracy of records'. Do you agree with this statement? Give reasons.

IV Exercises

1. Prepare a trial balance with the following information:

Name of the account	₹	Name of the account	₹
Purchases	1,00,000	Sales	1,50,000
Bank Loan	75,000	Creditors	50,000
Debtors	1,50,000	Cash	90,000
Stock	35,000	Capital	1,00,000

(Answer: Trial balance total ₹ 3,75,000)

2. Prepare the trial balance from the following information:

Name of the account	₹	Name of the account	₹
Bank loan	2,00,000	Purchases	1,80,000
Bills payable	1,00,000	Sales	3,00,000
Stock	70,000	Debtors	4,00,000
Capital	2,50,000	Bank	2,00,000

(Answer: Trial balance total ₹ 8,50,000)

3. Prepare the trial balance from the following balances of Chandramohan as on 31st March, 2017.

	₹		₹
Capital	1,24,500	Bank overdraft	5,800
Drawings	2,000	Motor car	20,000
Loan borrowed	7,000	General expenses	2,500
Sales	53,400	Building	1,10,000
Purchases	40,000	Stock	16,200

(Answer: Trial balance total ₹ 1,90,700)

4. Prepare the trial balance from the following balances of Babu as on 31st March, 2016.

	₹		₹
Cash in hand	7,000	Bills receivable	7,000
Sundry debtors	5,400	Sundry creditors	11,800
Salaries	6,800	Capital	25,000
Bad debts	200	Purchases	45,000
Opening stock	15,400	Sales	50,000

(Answer: Trial balance total ₹ 86,800)

Accountancy - Unit-05.indd 96 12/12/2021 6:15:19 PM